January 2017 Paper 02

Question 1

1(a) Define key terms

Define EACH of the following terms: (i) Barter (2 marks); (ii) Specialization (2 marks)

(a)(i) Barter

Barter is a system of exchange in which goods and services are traded directly for other goods and services without the use of money. For example, a fisherman may exchange some of his catch for vegetables grown by a farmer. Barter only works when each party has something the other wants and they can agree on a fair rate of exchange.

(a)(ii) Specialization

Specialization is when a person, business, region or country focuses on producing one good or one part of a good rather than trying to produce a wide variety of items. By concentrating on what it can produce best, the producer becomes more skilled and efficient, output rises and goods can be exchanged with others for the things the producer no longer makes.

1(b) Characteristics of cooperatives

State TWO characteristics of cooperatives. (2 marks)

- A cooperative is owned and democratically controlled by its members, with each member having one vote no matter how much capital they have contributed.
- Profits, known as surplus, are shared among the members in proportion to the amount of business each member did with the cooperative, rather than according to the amount of capital invested.

1(c) Distinguish between pairs of concepts

Distinguish between EACH of the following pairs of concepts: (i) Sole traders and partnerships (4 marks); (ii) Private sector and public sector (4 marks)

(c)(i) Sole traders and partnerships

Sole trader

A sole trader is a business owned and run by one person, who provides all the capital, makes all the decisions, takes all the profits and bears all the losses. The sole trader has unlimited liability, meaning that personal assets can be used to pay off business debts, and the business ends if the owner dies or retires.

Partnership

A partnership is a business owned by two to twenty persons who agree to combine their capital, skills and effort and to share the profits and losses according to a partnership agreement. Decisions are made jointly and the partners usually have unlimited liability, although the death or withdrawal of a partner does not always end the business if the agreement allows the others to continue.

(c)(ii) Private sector and public sector

Private sector

The private sector is the part of the economy that is owned and controlled by private individuals or groups, such as sole traders, partnerships and limited companies. Businesses in the private sector use their own capital to produce goods and services and their main aim is to make a profit for the owners or shareholders.

Public sector

The public sector is the part of the economy that is owned and controlled by the government on behalf of the citizens. It includes ministries, government departments, statutory bodies and state-owned enterprises that provide services such as health care, education, water and electricity. Its main aim is to provide services to the public rather than to make a profit.

1(d) Importance of stakeholders to a retail business

Explain ONE way in which each of the following stakeholders is important to a retail business: (i) Producers (3 marks); (ii) Consumers (3 marks)

(d)(i) Producers

Producers are important to a retail business because they make the goods that the retailer sells to the final customer. Without a steady supply of well-made products from producers, the shelves of the retail store would be empty and customers would have nothing to buy. Producers also influence the quality, price and packaging of the goods, so a good working relationship with reliable producers helps the retailer to keep customers satisfied and the business profitable.

(d)(ii) Consumers

Consumers are important to a retail business because they are the final buyers of the goods sold by the shop. The money they spend is what gives the business its sales revenue, allows it to pay its workers and suppliers and gives the owners a profit. The tastes, preferences and complaints of consumers also help the retailer to decide what to stock, what prices to charge and how to improve the shopping experience, so the business depends on consumers for its very survival.

Question 2

2(a) Leadership

(a)(i) List FOUR characteristics of a good leader. (4 marks); (ii) Outline TWO types of leadership styles. (4 marks)

(a)(i) FOUR characteristics of a good leader

- Honest and trustworthy in dealing with workers, customers and other stakeholders.
- Able to communicate clearly and to listen to the ideas and concerns of others.
- Confident, decisive and willing to take responsibility for the choices that are made.
- Hard-working, knowledgeable about the business and able to motivate workers to give of their best.

(a)(ii) TWO types of leadership styles

Autocratic leadership

An autocratic leader makes all the decisions on his or her own and gives clear orders to the workers without asking for their opinions. The workers are expected to follow instructions exactly and there is little room for discussion. This style can be useful when quick decisions must be made or when workers are new and inexperienced, but it can also lower morale and creativity over time.

Democratic leadership

A democratic leader involves the workers in making decisions by asking for their ideas, listening to their views and taking a vote where necessary, although the final responsibility still rests with the leader. This style helps workers to feel valued and committed to the decisions, encourages teamwork and brings out new ideas, but decisions can take longer to make.

2(b) Communication

(b)(i) Explain the importance of the 'grapevine' in informal communication. (2 marks); (ii) Describe TWO strategies for effective communication within an organization. (4 marks)

(b)(i) Importance of the grapevine

The grapevine is the informal network through which workers share news, rumours and personal opinions across the workplace. It is important because it travels very quickly, reaches everyone in the organisation and gives managers a sense of what workers are really thinking, feeling and worrying about, which helps them to spot problems and to address concerns before they become serious.

(b)(ii) TWO strategies for effective communication

Use clear and simple language with feedback

Managers and workers should use simple words and short sentences when sending messages, and should avoid technical jargon that the receiver may not understand. They should also encourage the receiver to ask questions or repeat the message in their own words, so that any confusion can be cleared up before the wrong action is taken.

Choose the right channel for the message

Different messages call for different channels of communication. Routine information such as meeting times can be sent by email or notice board, while sensitive matters such as discipline or promotion are better discussed in a private face-to-face meeting. Choosing the right channel makes sure that the message reaches the receiver in the most suitable way and reduces misunderstanding.

2(c) Teamwork and business success

Explain TWO ways in which teamwork can contribute to the success of a business. (6 marks)

Higher productivity and better-quality work

When workers cooperate as a team, they share the workload according to each member's strengths and skills, so tasks are completed faster and to a higher standard than any single worker could achieve alone. Team members can check one another's work, spot mistakes early and offer support when problems arise.

This raises the productivity of the business, lowers the level of waste and helps the business to deliver good products and services to its customers.

Better decision making and improved staff morale

In a team, members share different ideas, experiences and information before making a decision, which leads to more thoughtful choices and creative solutions. Working as a team also makes workers feel valued and part of something bigger than themselves, which lifts their morale and motivation. Workers who feel happy and supported are more likely to stay with the business, take less time off and put in extra effort, all of which contribute to the long-term success of the business.

Question 3

3(a) Production and productivity

Define EACH of the following terms: (i) Production (2 marks); (ii) Productivity (2 marks)

(a)(i) Production

Production refers to the actual creation of goods or the provision of services to satisfy human wants and needs. It measures the total quantity or output that a business or country has made over a given period of time, for example the number of cases of soft drinks bottled in a month or the number of cars assembled in a year.

(a)(ii) Productivity

Productivity measures how efficiently the resources of the business have been used to create that output. It compares the output produced with the inputs used, such as labour, capital or raw materials, and is often expressed as output per worker per hour. A business that produces 1,000 units with 10 workers in one hour is more productive than another business that produces the same 1,000 units with 20 workers in the same hour.

3(b) Efficiency of labour and factors of production

(b)(i) Describe TWO factors which contribute to the efficiency of labour. (4 marks); (ii) List TWO factors of production used in the creation of goods and services. (2 marks)

(b)(i) TWO factors that contribute to the efficiency of labour

Education and training

Workers who are well educated and properly trained understand their tasks better, work more accurately and can use modern equipment with confidence. Regular on-the-job training and refresher courses keep their skills up to date with new methods and technology, so they can produce more goods of better quality in the same amount of time. This raises the output per worker and improves the efficiency of labour.

Working conditions and motivation

When workers are paid fair wages, given safe and pleasant working conditions, proper tools and breaks, and treated with respect, they are more motivated to work hard and to take pride in their job. Bonuses, promotions and recognition also encourage workers to put in extra effort. Motivated workers turn up on time, miss fewer days and produce more, which raises the efficiency of labour.

(b)(ii) TWO factors of production

- Land, which refers to all the natural resources used in production, such as soil, minerals, forests and the sea.
- Labour, which refers to the human effort, both physical and mental, used to produce goods and services.

3(c) Caribbean industries

Identify TWO industries in the Caribbean that were developed from each of the following activities: (i) Agriculture (2 marks); (ii) Mining (2 marks)

(c)(i) Agriculture

- The sugar industry, in which sugar cane grown across the Caribbean is processed into raw sugar, refined sugar, molasses and rum.
- The banana and citrus industry, in which bananas and citrus fruits grown in countries such as Jamaica, St Lucia and Dominica are exported and also used to make juices, jams and other processed products.

(c)(ii) Mining

- The bauxite and alumina industry, based on bauxite mined in Jamaica and Guyana, which is processed into alumina and aluminium.
- The petroleum and petrochemical industry, based on crude oil and natural gas in Trinidad and Tobago, which produces fuels, methanol, ammonia and fertilisers.

3(d) Promoting human resource development

Explain TWO ways in which human resource development in the Caribbean can be promoted. (6 marks)

Investing in education and skills training

Governments and businesses can promote human resource development by spending more on schools, technical colleges, universities and on-the-job training programmes. Free or subsidised education at all levels and the offer of scholarships allow more young people to study, while training programmes such as the HEART or NTA prepare workers in trades such as construction, hospitality, information technology and agriculture. With better-educated and better-trained citizens, the region has a workforce that can produce more, earn higher wages and attract foreign investment.

Improving health care and working conditions

Human resources can also be developed by making sure that citizens are healthy and well looked after. Governments can build more clinics and hospitals, run health education campaigns and provide clean water and sanitation, while businesses can offer health insurance, safe workplaces and a balance between work and family life. Healthy workers turn up to work, perform better and stay in the labour force longer, which raises the overall quality and quantity of human resources available to the region.

Question 4

4(a) Marketing and the marketing mix

(a)(i) Define the term 'marketing'. (2 marks); (ii) List TWO elements of the marketing mix. (2 marks)

(a)(i) Definition of marketing

Marketing is the set of business activities used to identify the needs and wants of customers and to satisfy those needs and wants profitably. It involves researching the market, designing the product, deciding the price, choosing how the product will reach the customer and promoting the product so that customers know about it and want to buy it.

(a)(ii) TWO elements of the marketing mix

- Product, which is the goods or services the business offers for sale.
- Price, which is the amount of money the customer pays for the product.

4(b) Perfect competition vs monopolistic competition

Differentiate between 'perfect competition' and 'monopolistic competition'. (4 marks)

Perfect competition

Perfect competition is a market structure in which there are very many small buyers and sellers, all selling identical (homogeneous) products, with no single firm large enough to influence the market price. Buyers and sellers have full information about prices and goods, and there is freedom of entry and exit, so firms in the long run earn only normal profit.

Monopolistic competition

Monopolistic competition is a market structure in which there are many sellers, but each seller offers a slightly different (differentiated) product, often with its own brand name, packaging and quality. Because of these differences, each firm has some power to set its own price, and firms compete by advertising and improving their products as well as by adjusting price.

4(c) Market research and consumer behaviour

(c)(i) State TWO reasons for conducting market research. (2 marks); (ii) Describe TWO factors which influence consumer behaviour. (4 marks)

(c)(i) TWO reasons for conducting market research

- To find out the needs, wants, tastes and buying habits of customers so that the business can design products that customers really want.
- To learn about the size of the market, the level of competition and the prices charged by other firms, so the business can plan its marketing mix and reduce the risk of failure.

(c)(ii) TWO factors which influence consumer behaviour

Income and price

The amount of money a consumer earns sets a limit on what he or she can afford to buy, while the price of a product compared with the prices of other similar products affects whether the consumer will choose

it. When income is high or prices are low, consumers tend to buy more, but when income falls or prices rise, they often switch to cheaper alternatives or buy less.

Personal taste, culture and advertising

The age, gender, lifestyle, religion and culture of a consumer all affect the kinds of food, clothing and other goods he or she prefers. Advertising and the influence of family, friends and social media also play a big role, as people are often persuaded to try products that are heavily promoted or that are popular among the people they know.

4(d) Price and the marketing process

Explain TWO ways in which the price of a good or service contributes to the marketing process. (6 marks)

Price signals quality and value to the customer

The price set on a product sends a message to customers about what kind of good they are buying. A high price often suggests that the product is of high quality and is meant for customers who can afford luxury, while a low price suggests that the product is affordable everyday value for money. Setting the price at the right level helps the business to position the product clearly in the customer's mind and to attract the target market it is aiming for.

Price affects sales volume, profit and competitiveness

Price is the only element of the marketing mix that directly brings money into the business, so it has a big effect on total sales and profit. If the price is too high, customers may switch to cheaper rivals and sales will fall, while a price that is too low may attract many customers but bring in too little revenue to cover costs. By using strategies such as discounts, special offers and competitive pricing, the business can use price to win customers from competitors and to support the rest of the marketing mix.

Question 5

5(a) Government responsibilities and income

(a)(i) State TWO responsibilities of governments. (2 marks); (ii) List TWO sources of government income. (2 marks)

(a)(i) TWO responsibilities of governments

- Providing public goods and services such as health care, education, water, electricity, security and roads for all citizens.
- Maintaining law and order, defending the country and managing the economy through fiscal and monetary policy so that there is steady growth and low inflation.

(a)(ii) TWO sources of government income

- Direct taxes such as personal income tax (PAYE) and company tax.
- Indirect taxes such as value added tax (VAT) on goods and services and customs duty on imports.

5(b) How businesses can protect the environment

State FOUR ways in which businesses can protect the environment. (4 marks)

- Treating waste water and other harmful waste before releasing it into rivers or the sea.
- Disposing of solid waste in proper landfills and recycling materials such as paper, plastic and metal whenever possible.
- Using cleaner technology and energy-saving equipment to reduce air pollution and the use of natural resources.
- Planting trees, restoring damaged land and following environmental protection laws on noise, smoke and chemicals.

5(c) Government measures to regulate business activity

Describe TWO measures that governments can use to regulate business activity. (6 marks)

Passing laws and issuing licences

The government passes laws that set out the rules under which businesses must operate, such as company law, employment law, health and safety law and environmental protection law. It also requires every business to obtain certain licences and permits, such as a business name registration, a trade licence and food handler's permits where they apply. Inspectors visit businesses to check that the rules are being followed, and businesses that break the law can be fined, taken to court or have their licences taken away.

Setting prices, standards and using taxation

The government can set price controls on essential items such as basic food and medicine to stop businesses from charging unfair prices. Through bodies such as the Bureau of Standards, it sets quality and safety standards for goods and services and tests products to make sure they meet those standards. The government also uses taxes such as customs duty and excise duty to discourage the sale of harmful goods such as tobacco and alcohol, and uses tax incentives to encourage activities that benefit the country.

5(d) How governments can protect consumers

Explain TWO ways by which governments can protect consumers. (6 marks)

Passing consumer protection laws

Governments pass laws such as the Sale of Goods Act and the Consumer Protection Act, which give buyers the right to receive goods that are of merchantable quality, fit for purpose and as described, and to return faulty goods for a refund or replacement. Customers who are sold defective or wrongly described goods can use these laws to claim compensation through the courts, which discourages dishonest practices by businesses.

Setting up consumer agencies and standards bureaus

Governments set up agencies such as the Consumer Affairs Commission and the Bureau of Standards. These agencies investigate complaints from consumers, test products to make sure they meet safety and quality standards, take action against businesses that break the rules and educate the public about their

rights as consumers. They also enforce weights and measures laws to ensure that scales, fuel pumps and packaged goods give the correct quantity, so consumers are not cheated or short-changed.